

NOT A GOOD TRACK RECORD



2018

RBI asks PPBL to stop enrolling new customers on its platform



2021

Central bank slaps ₹1 crore penalty for deficiencies in regulatory filing



2022

RBI directs comprehensive IT systems audit of PPBL; sends back Paytm Payment Services' payment aggregator licence application



2024

RBI directs termination of nodal accounts; it asks PPBL to stop accepting deposits and halt credit transactions or top-ups; NHAI bans PPBL from selling FASTags; Paytm forms a panel to advise PPBL on compliance and regulation under former Sebi chief M. Damodaran



2019

RBI lifts ban, allows PPBL to onboard customers



to enter general insurance via the organic route with the company's board approving ₹950 crore in investments over the next 10 years. But there hasn't been much progress. "You need to hold a licence to create products, rather than distribute, to earn annuity in the financial services industry," says a person who runs an NBFC.

In the insurance aggregator space, there are market leaders such as Policybazaar, Coverfox, and Easypolicy. Despite having the first-mover advantage, the 15-year-old PB Fintech—that owns Policybazaar—is finally expected to report profits in FY24, which speaks volumes about the competition and low margins in this space. In addition, there are insurtech or

digital-only insurers like Acko and Digit, which are carving out a niche in the digital space. Paytm will face significant challenges to scale and make money in these businesses.

Paytm's marketing services business (called Commerce & Cloud earlier) is primarily about providing marketing solutions to its merchants, especially brand marketing, advertising, and loyalty services. "This business will likely witness minimal impact from the ongoing upheaval post the recent RBI restrictions," states a report by brokerage Motilal Oswal. Merchants offer deals, gift vouchers, discounts, coupons, ticketing, etc., and Paytm can sell those. On the commerce side, it has travel, entertainment and deals, and gift vouchers. This busi-

ness will continue to look for new use cases where it enables different commerce services for merchants on its app. The co-branded credit cards distribution business for HDFC Bank, Kotak Mahindra Bank and SBI comes under the advertising vertical, and Paytm has acquired more than 1 million consumers for them. That's 125% growth YoY.

THE WAY AHEAD

Before RBI's action, Paytm was on course to report net profits in the near future. Now, Motilal Oswal estimates payment revenues could decline by 27% in FY25, attributed to the decline in GMV, impact on wallet transactions, and loss in merchant and customer base. "We